

# MANAGEMENT REVIEW

Management without theatre.

STRATEGY

## CHANGE THAT LASTS: THE TRUTH ABOUT “70% FAIL”

Where the 70% came from, what Kotter saw in a hundred companies, what executives report in surveys, what makes people open to change, and a card for a change that has to last.



≈70%

of all change initiatives fail, wrote Beer and Nohria, citing no evidence. A 2011 review found no valid evidence for the figure.

BEER & NOHRIA, 2000

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# In this issue

Few management claims are repeated as often as “70% of change efforts fail”. This issue asks where the figure came from, what the evidence actually says, and what makes a change last after the project ends.

In 1993 Hammer and Champy gave an “unscientific estimate” that up to 50–70% of organisations that start reengineering miss the dramatic results they intended. In 2000 Beer and Nohria wrote, without evidence, that about 70% of all change initiatives fail; in 2011 Mark Hughes found no valid evidence for the figure. Kotter, who followed more than a hundred companies, gave no percentage. In McKinsey’s 2015 survey, 26% of executives said their transformation had improved performance and kept the gains.

*Stiven Janaqi* EDITOR · STIVEN CATALYST

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## HOW TO READ THIS ISSUE

### Figure

Every figure has its source and year at the foot of its page.

### Our reading

Where the editors interpret rather than the research, it says so.

### Practice

The steps and the card are proposals to try, not research results.

## COVER STORY

# Where 70% came from

The figure has a history. It began as a cautious estimate about one kind of change and became a rule about all of them.



Missing the dramatic results intended is not the same as failing, and reengineering is not every kind of change. Between 1993 and 2000 both distinctions were lost.

**OUR READING**

The 70% says more about how management ideas travel than about change. When someone quotes it, ask: failed at what, and measured how?

Sources: Michael Hammer & James Champy, HarperBusiness, 1993; John P. Kotter, Harvard Business Review, 1995; Michael Beer & Nitin Nohria, Harvard Business Review, 2000; Mark Hughes, Journal of Change Management, 2011

THE NUMBERS

# What executives report

McKinsey has asked executives for years how their transformations went. The answers are their own assessments, and each survey defines success in its own way.

WHERE THE LOST VALUE OF A TRANSFORMATION GOES, AS RESPONDENTS ESTIMATE IT (2021)

Setting targets



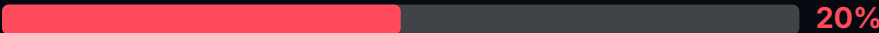
Planning



Implementation



After implementation



**26%**

said their transformation improved performance and kept the gains (2015; 20% in 2012)

**79%**

said so among those who followed a rigorous approach and completed every action

OUR READING

More than half of the lost value goes during and after implementation. The plan is rarely the weakest part; carrying it out and keeping it is.

Sources: McKinsey & Company, 2021; McKinsey & Company, 2015

Executives' own assessments, not measured results; we have not seen the sample sizes.

THE MODEL

# Eight errors

Kotter gave no failure rate. He described the errors he saw most often, in the order a change passes through them.

## Getting started

1 Not enough urgency

2 A guiding coalition that is not strong enough

3 No vision

4 The vision communicated far too little

## Carrying it through

5 Obstacles not removed

6 No short-term wins planned

7 Victory declared too soon

8 Changes not anchored in the culture

Well over half of the companies he followed failed at the first step. Urgency is enough, he wrote, when about 75% of the management is honestly convinced that business as usual is unacceptable. A review in 2012 found support for most steps one by one, but no formal test of the whole model.

### OUR READING

Kotter's list is a map of where change breaks, not a proof of how it succeeds. Used that way, it is useful.

Sources: John P. Kotter, Harvard Business Review, 1995; Steven H. Appelbaum et al., Journal of Management Development, 2012

[More in the essay](#)

The first 30 days: how I read an operation I do not know

WHAT THE RESEARCH SAYS

# What opens people to change

Connie Wanberg and Joseph Banas followed the employees of one organisation through a large reorganisation and asked who stayed open to the changes.

|    |             |                                                                    |
|----|-------------|--------------------------------------------------------------------|
| 01 | Information | Those who were told about the changes were more open to them.      |
| 02 | Confidence  | Those who felt able to cope with the changes were more open.       |
| 03 | A say       | Those who took part in decisions about the changes were more open. |

Lower acceptance went with less job satisfaction, more irritation and a stronger intention to leave. In McKinsey's 2015 survey, continuous-improvement activities went with about twice the odds that results lasted.

OUR READING

A change lasts in the people who carry it. Information, confidence and a say cost little next to a change that has to be made twice.

Sources: Connie R. Wanberg & Joseph T. Banas, *Journal of Applied Psychology*, 2000; McKinsey & Company, 2015

One organisation and questionnaires; McKinsey's figures are self-reports. We have not seen the sample sizes.

HOW IT IS MEASURED

# Measure after the project

A change is usually measured when the project closes. Whether it lasted shows later, when nobody is watching any more.

- 1

**Name the result and the date**  
One number the change should move, and by when.
- 2

**Measure before**  
Four weeks of the old way, so the start is known.
- 3

**Measure at the end**  
On the day the project closes.
- 4

**Measure again at 3, 6 and 12 months**  
Until a change takes root, Kotter warned, it can slide back.

HYPOTHETICAL EXAMPLE, A NEW HANDOVER ROUTINE

|             |                            |
|-------------|----------------------------|
| Before      | 6 of 10 handovers complete |
| Project end | 9 of 10                    |
| 3 months    | 9 of 10                    |
| 6 months    | 7 of 10                    |

The slide at six months is the signal to act again. The numbers are invented.

Source: John P. Kotter, Harvard Business Review, 1995

The steps and the example are the editors'.

TOOL OF THE WEEK

# The change card

One card for one change. Fill it in before the change starts, and look at it again on each check date.

**01 What changes** in one sentence, and the number that should move

**02 Why now** what happens if nothing changes

**03 Who leads** the people who carry it, and who decides

**04 What people need** information, the confidence to cope, a say in decisions

**05 First win** something visible within weeks

**06 Check dates** project end, then 3, 6 and 12 months

Sources: John P. Kotter, Harvard Business Review, 1995; Connie R. Wanberg & Joseph T. Banas, Journal of Applied Psychology, 2000

A practice proposed by the editors, after Kotter's eight errors and the findings of Wanberg and Banas.

## SOURCES AND METHOD

# Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

## Reengineering the Corporation: A Manifesto for Business Revolution

Michael Hammer & James Champy,  
HarperBusiness, 1993

## Leading Change: Why Transformation Efforts Fail

John P. Kotter, Harvard Business Review, 1995  
<https://hbr.org/1995/05/leading-change-why-transformation-efforts-fail-2>

## Cracking the Code of Change

Michael Beer & Nitin Nohria, Harvard Business Review, 2000  
<https://hbr.org/2000/05/cracking-the-code-of-change>

## Do 70 Per Cent of All Organizational Change Initiatives Really Fail?

Mark Hughes, Journal of Change Management, 2011  
<https://doi.org/10.1080/14697017.2011.630506>

## Losing from day one: Why even successful transformations fall short

McKinsey & Company, 2021  
<https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/successful-transformations>

## How to beat the transformation odds

McKinsey & Company, 2015  
<https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/how-to-beat-the-transformation-odds>

## Back to the future: revisiting Kotter's 1996 change model

Steven H. Appelbaum et al., Journal of Management Development, 2012  
<https://doi.org/10.1108/02621711211253231>

## Predictors and outcomes of openness to changes in a reorganizing workplace

Connie R. Wanberg & Joseph T. Banas, Journal of Applied Psychology, 2000  
<https://doi.org/10.1037/0021-9010.85.1.132>

## EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



# **MANAGEMENT REVIEW**

Management without theatre.

Every week, one management question, checked against the best research.

**ALL ISSUES**

[stivencatalyst.com/magazine/management-review.html](https://stivencatalyst.com/magazine/management-review.html)